

Apple Retail FP&A — Executive Summary

FY2025A results and FY2026E–FY2028E outlook | Portfolio FP&A model built on Apple Inc.'s public financial statements

FY2025A Net Sales	FY2028E Net Sales	FY2025A Net Margin	FY2028E Net Margin	Sales CAGR '25-'28
\$416.2B	\$496.5B	26.9%	28.6%	+6.1%

3-STATEMENT MODEL HIGHLIGHTS

Total net sales grew 6.4% in FY2025A to \$416.2B, with gross margin expanding to 46.9% on a richer Services mix. The model projects continued gross-margin expansion to 48.2% by FY2028E as Services scales, driving operating margin from 32.0% to 34.0% and net income from \$112.0B to \$141.8B (\$7.46 → \$10.02 diluted EPS) over the same period.

The Balance Sheet and Cash Flow statements are fully linked — working capital is driven off Income Statement activity (AR/Inventory/AP on a days-outstanding basis), PP&E rolls forward with CapEx and D&A, and equity rolls forward with Net Income, dividends, and buybacks. The model balances to \$0 in every historical and projected year.

RETAIL CAPEX

Modeled Retail CapEx (New Store Buildouts, Store Remodels, Retail IT) grows from an estimated \$763M in FY2025A to \$914M by FY2028E — roughly 6.0% to 6.9% of total company CapEx — built up from unit drivers (~16–18 new stores/year at ~\$12–\$13M each; ~138–146 store remodels/year at ~\$2.5–\$2.7M each). A simplified straight-line depreciation schedule with half-year convention on new spend feeds directly into the Cash Flow D&A add-back.

GRS HEADCOUNT & SCENARIO

The illustrative Global Retail Support (GRS) cost base grows from a \$683M annual run rate in FY2025 (2,900 corporate FTEs + 900 contractors) to \$828M by FY2028E. A built-in scenario toggle tests converting 5 contractors/year to FTE: at FY2026E cost assumptions, this saves ~\$0.16M/year in blended cost — a lever leadership can flex directly in the model.

BVA AUTOMATION (SAMPLE MONTH)

The BvA automation script (bva_variance_ai_commentary.py) ingested a sample October GL export and flagged 8 of 15 line items as material. Total retail opex ran \$1.04M over budget (+3.5%), led by GRS Contractor Fees (+\$275K, +19.0%, tied to an extended project timeline) and Store Payroll Overtime (+\$260K, +40.0%, tied to peak in-store traffic) — with AI-generated commentary produced automatically from the variance data.

KEY MODELING ASSUMPTION

Apple does not disclose a Retail Stores vs. E-Commerce sales split, or a retail-specific CapEx/headcount breakdown. Every such figure in this model is a labeled, sourced estimate built on top of real disclosed figures (e.g., the FY2025 40%/60% Direct/Indirect channel split) — documented cell-by-cell in the workbook's ReadMe and Assumptions tabs.

Sources: Apple Inc. Form 10-K, FY ended September 27, 2025 (SEC EDGAR); Apple Inc. Q4 FY2025 Condensed Consolidated Financial Statements (apple.com/newsroom). Retail CapEx, GRS Headcount, and BvA figures are illustrative/modeled — Apple does not disclose these at a retail-specific level. Full methodology, assumptions, and formulas: Apple Retail FP&A Model.xlsx.